

MINDTECK SINGAPORE PTE LTD

Co. Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

FINANCIAL STATEMENTS

For the financial year ended 31 March 2016



Kudos CAS Public Accounting Corporation

Public Accountants and Chartered Accountants

MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

GENERAL INFORMATION*For the financial year ended 31 March 2016*

Board of Director

Jacob Pillay

Secretary

Ong Woon Pheng

(Appointed on 15 February 2016)

Ahamed Mohideen Seyed Ali Rashiq

(Resigned on 15 February 2016)

Registered Office

7B Keppel Road

#05-09 Tanjong Pagar Complex

Singapore 089055

Auditors

Kudos CAS Public Accounting Corporation

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MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

DIRECTOR'S STATEMENT*For the financial year ended 31 March 2016*

The director is pleased to submit his statement to the member together with the audited financial statements of Mindteck Singapore Pte Ltd ("the Company") for the financial year ended 31 March 2016.

Opinion of the director

In the opinion of the director,

- (i) The accompanying financial statements of the Company, together with notes thereto are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2016 and the financial performance, changes in equity and cash flow of the Company for the year ended on that date; and
- (ii) at the date of this statement there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

Director

The Director of the Company in office at the date of this statement is Jacob Pillay.

Arrangements to enable director to acquire shares and debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the director of the Company to acquire benefits by means of the acquisition of shares or debentures of the Company or any other corporate body.

Director's interests in shares and debentures

According to the register of Director's shareholdings, required to be kept under section 164 of the Singapore Companies Act, Chapter 50 ("Act"), no director who held office at the end of the financial year had interests in the shares, share options, warrants or debentures of the Company, or of related corporations, either at the beginning of the financial year, or date of appointment if later, or at the end of the financial year.

Share options

No option to take up unissued shares of the Company was granted during the financial year.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company whether granted before or during the financial year.

There were no unissued shares of the Company under option at the end of the financial year.

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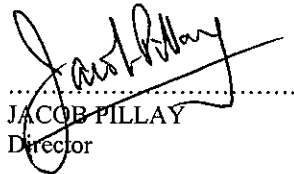
DIRECTOR'S STATEMENT

For the financial year ended 31 March 2016

Auditors

Kudos CAS Public Accounting Corporation have expressed their willingness to accept reappointment as auditor.

The Director,


.....
JACOB PILLAY
Director

Singapore

Date: 30 June 2016



Kudos CAS Public Accounting Corporation
UEN No. 201500907H

9 Hongkong Street, #05-01, Singapore 059652
Tel: (+65) 6225 5515 | Fax (+65) 6221 1550

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2016
Co Reg No.: 199904845D**

Report on the Financial Statements

We have audited the accompanying financial statements of **Mindteck Singapore Pte Ltd** (the "Company"), which comprise the statement of financial position as at 31 March 2016, statement of comprehensive income, statement of changes in equity and statement of cash flows of the Company for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Singapore Companies Act, Chapter 50 (the "Act") and Singapore Financial Reporting Standards, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.



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**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2016**
Co Reg No.: 199904845D

Opinion

In our opinion, the financial statements of the Company are properly drawn up in accordance with the provisions of the Act and Singapore Financial Reporting Standards so as to give a true and fair view of the financial position of the Company as at 31 March 2016 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Other Matter

The financial statements for the financial year ended 31 March 2015 were audited by another auditor whose report dated 30 September 2015 expressed an unqualified opinion on those financial statements.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

KUDOS CAS PUBLIC ACCOUNTING CORPORATION
Public Accountants and
Chartered Accountants

Singapore

Date: 30 June 2016

MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

STATEMENT OF COMPREHENSIVE INCOME*For the financial year ended 31 March 2016*

	Note	2016 \$	2015 \$
Revenue	4	3,366,326	3,498,414
Cost of services	5	(2,617,944)	(2,725,654)
Gross profit		748,382	772,760
Other operating income		10,339	5,792
Administrative expenses		(464,045)	(467,298)
Other operating expenses		(3,130)	(3,891)
Finance cost		(24,929)	-
Profit before income tax	6	266,617	307,363
Income tax expense	8	-	-
Profit after income tax		266,617	307,363
Other comprehensive income		-	-
Total comprehensive income		266,617	307,363

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD

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STATEMENT OF FINANCIAL POSITION*As at 31 March 2016*

	Note	2016 \$	2015 \$
ASSETS			
Non-current assets			
Goodwill	9	534,583	534,583
Plant and equipment	10	2,363	3,422
Investment in subsidiary	11	288,900	-
Total non-current assets		825,846	538,005
Current assets			
Trade and other receivables	12	637,123	890,054
Prepayment		14,149	18,286
Amount due from related parties	15	319,690	322,002
Cash and cash equivalents	13	280,129	316,446
Total current assets		1,251,091	1,546,788
Total Assets		2,076,937	2,084,793
LIABILITIES AND EQUITY			
Current liabilities			
Other payables and accruals	14	365,490	358,332
Amount due to related parties	15	234,483	514,117
Total current liabilities		599,973	872,449
Net assets		1,476,964	1,212,344
Equity			
Share capital	16	1,310,500	1,310,500
Capital reserve		-	1,997
Retained earnings / (Accumulated losses)		166,464	(100,153)
Total equity		1,476,964	1,212,344

The accompanying notes form an integral part of these financial statements.

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STATEMENT OF CHANGES IN EQUITY*As at 31 March 2016*

	Share capital \$	Capital reserve \$	Retained earnings \$	Total \$
Balance as at 1 April 2014	1,310,500	1,997	(407,516)	904,981
Profit after income tax	–	–	307,363	307,363
Other comprehensive income for the year	–	–	–	–
Total comprehensive income for the year	–	–	307,363	307,363
Balance as at 31 March 2015	1,310,500	1,997	(100,153)	1,212,344
Profit after income tax	–	–	266,617	266,617
Transfer to retained earnings	–	(1,997)	–	(1,997)
Other comprehensive income for the year	–	–	–	–
Total comprehensive income for the year	–	(1,997)	266,617	264,620
Balance as at 31 March 2016	1,310,500	–	166,464	1,476,964

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD

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STATEMENT OF CASH FLOWS*For the financial year ended 31 March 2016*

	2016 \$	2015 \$
Cash flows from operating activities		
Profit before income tax	266,617	307,363
Adjustments for:		
Depreciation of plant and equipment	3,130	3,891
Adjustment on plant and equipment	(196)	-
Capital reserve adjustment	(1,997)	-
Finance interest	24,929	-
Operating cash flows before working capital changes	292,483	311,254
Changes in working capital:		
Trade and other receivables and prepayments	257,068	(33,482)
Amount due from related parties	2,312	(48,688)
Trade payable	-	(17,575)
Other payables and accruals	7,158	(172,272)
Amount due to related parties	(279,634)	223,823
Cash generated from operations	279,387	263,060
Income tax paid	-	-
Net cash generated from operating activities	279,387	263,060
Cash flows from investing activities		
Purchase of plant and equipment	(1,875)	(3,138)
Purchase of investment	(288,900)	-
Proceeds from disposal of plant and equipment	-	190
Net cash used in investing activities	(290,775)	(2,948)
Cash flows from financing activities		
Finance interest	(24,929)	-
Net cash used in financing activities	(24,929)	-
Net (decrease)/increase in cash and cash equivalents	(36,317)	260,112
Cash and cash equivalents at the beginning of the year	316,446	56,334
Cash and cash equivalents at the end of the year	13 280,129	316,446

The accompanying notes form an integral part of these financial statements.

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Co Reg No.: 199904845D

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NOTES TO THE FINANCIAL STATEMENTS*For the financial ended 31 March 2016*

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. Corporate Information

Mindteck Singapore Pte Ltd (the “Company”) is incorporated and domiciled as a limited liability company in the Republic of Singapore. The Company's immediate and ultimate holding company is Mindteck (India) Limited, a company domiciled and incorporated in India.

The registered office and principal place of business is located at 7B Keppel Road #05-09, Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of software development and consultancy services and the provision of contract information technology professionals. The principal activity of the subsidiary is disclosed in Note 11 to the financial statement. There have been no significant changes in the nature of these activities during the financial year.

These financial statements are separate financial statements of the Company. The Company is exempted from the preparation of consolidated financial statements as the Company is a wholly-owned subsidiary of Mindteck (India) Limited, a company incorporated in India, which prepares the consolidated financial statements and has its registered office at, 16/3, Cambridge Road, Ulsoor Bangalore 560 008, Karnataka, India. The consolidated financial statements are obtainable at the registered office.

2. Summary of significant accounting policies**2.1 Basis of preparation**

The financial statements of the Company have been prepared in accordance with Singapore Financial Reporting Standards (“FRS”).

The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollars, which is also the Company's functional currency.

2.2 Changes in accounting policies

The accounting policies adopted are consistent with those of the previous financial year except in the current financial year, the Company has adopted all the new and revised standards which are effective for annual financial periods beginning on or after 1 April 2015. The adoption of these standards did not have any effect on the financial performance or position of the Company.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***2. Summary of significant accounting policies (continued)****2.3 Standards issued but not yet effective**

The Company has not adopted the following standards applicable to the Company that have been issued but not yet effective:

<i>Description</i>	<i>Effective for annual periods beginning on or after</i>
Amendments to FRS 1 Disclosure Initiative	1 January 2016
Improvements to FRSs (November 2014)	
(a) Amendments to FRS 107 Financial Instruments: Disclosures	1 January 2016
(b) Amendments to FRS 19 Employee Benefits	1 January 2016
FRS 109 Financial Instruments	1 January 2018

Except for FRS 109, the directors expect that the adoption of the other standards above will have no material impact on the financial statements in the period of initial application. The nature of the impending changes in accounting policy on adoption of FRS 109 are described below.

FRS 109 introduces new requirements for classification and measurement of financial assets, impairment of financial assets and hedge accounting. Financial assets are classified according to their contractual cash flow characteristics and the business model under which they are held. The impairment requirements in FRS 109 are based on an expected credit loss model and replace the FRS 39 incurred loss model. Adopting the expected credit losses requirements will require the Company to make changes to its current systems and processes.

The Company currently measures one of its investments in unquoted equity securities at cost. Under FRS 109, the Company will be required to measure the investment at fair value. Any difference between the previous carrying amount and the fair value would be recognised in the opening retained earnings when the Company apply FRS 109.

FRS 109 is effective for annual periods beginning on or after 1 January 2018 with early application permitted. Retrospective application is required, but comparative information is not compulsory. The Company is currently assessing the impact of FRS 109 and plans to adopt the standard on the required effective date.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.4 Foreign currency**

The financial statements are presented in Singapore Dollars, which is also the Company's functional currency.

a) Transactions and balances

Transactions in foreign currencies are measured in the functional currencies of the Company and are recorded on initial recognition in the functional currencies at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is made. Revenue is measured at the fair value of consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty.

Revenue from the rendering of services is recognised when the services are rendered.

2.6 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is charged so as to allocate the cost of assets less their residual values over their estimated useful lives, using the straight-line method. The following annual rate is used for the depreciation of plant and equipment:

	<u>Estimated useful lives</u>
Computer	3 years
Furniture and fittings	5 years
Office equipment	5 years
Office renovation	2 years

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.6 Plant and equipment (continued)**

Repair and maintenance expenses are taken up to the statement of comprehensive income during the financial year in which they are incurred. The cost of major renovations and restorations is included in the carrying amount of the asset when it is probable that future economic benefits in excess of the originally assessed standard of performance of the existing asset will flow to the Company, and depreciated over the remaining useful life of the asset.

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual value, useful life and depreciation method are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on derecognition of the asset is included in profit or loss in the year the asset is derecognised.

2.7 Intangible assets

Intangible assets acquired separately are measured initially at cost. Following initial acquisition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in profit or loss in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite useful lives are amortised over the estimated useful lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

Intangible assets with indefinite useful lives or not yet available for use are tested for impairment annually, or more frequently if the events and circumstances indicate that the carrying value may be impaired either individually or at the cash-generating unit level. Such intangible assets are not amortised. The useful life of an intangible asset with an indefinite useful life is reviewed annually to determine whether the useful life assessment continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.8 Impairment of non-financial assets**

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when an annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses of continuing operations are recognised in profit or loss, except for assets that are previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss unless the asset is measured at revalued amount, in which case the reversal is treated as a revaluation increase.

2.9 Investment in subsidiaries

A subsidiary is an investee that is controlled by the Group. The Group controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

In the Company's separate financial statements, investments in subsidiaries are accounted for at cost less impairment losses.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.10 Financial instruments****a) Financial assets***Initial recognition and measurement*

Financial assets are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial assets at initial recognition.

When financial assets are recognised initially, they are measured at fair value, plus, in the case of financial assets not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification as follows:

i) Loans and receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market are classified as loans and receivables. Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the loans and receivables are derecognised or impaired, and through the amortisation process.

ii) Available-for-sale financial assets

Available-for-sale financial assets include equity and debt securities. Equity investments classified as available-for-sale are those, which are neither classified as held for trading nor designated at fair value through profit or loss. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial recognition, available-for-sale financial assets are subsequently measured at fair value. Any gains or losses from changes in fair value of the financial assets are recognised in other comprehensive income, except that impairment losses, foreign exchange gains and losses on monetary instruments and interest calculated using the effective interest method are recognised in profit or loss. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment when the financial asset is de-recognised. Investments in equity instruments whose fair value cannot be reliably measured are measured at cost less impairment loss.

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NOTES TO THE FINANCIAL STATEMENTS

For the financial year ended 31 March 2016

2. Summary of significant accounting policies (continued)

2.10 Financial instruments (continued)

a) Financial assets (continued)

De-recognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On de-recognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.11 Impairment of financial assets**

The Company assesses at each reporting date whether there is any objective evidence that a financial asset is impaired.

a) **Financial assets carried at amortised cost**

For financial assets carried at amortised cost, the Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Company determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on financial assets carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account. The impairment loss is recognised in profit or loss.

When the asset becomes uncollectible, the carrying amount of impaired financial asset is reduced directly or if an amount was charged to the allowance account, the amounts charged to the allowance account are written off against the carrying value of the financial asset.

To determine whether there is objective evidence that an impairment loss on financial assets has been incurred, the Company considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments.

If in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent that the carrying amount of the asset does not exceed its amortised cost at the reversal date. The amount of reversal is recognised in profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.11 Impairment of assets (continued)****b) Financial assets carried at cost**

If there is objective evidence (such as significant adverse changes in the business environment where the issuer operates, probability of insolvency or significant financial difficulties of the issuer) that an impairment loss on financial assets carried at cost had been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses are not reversed in subsequent periods.

c) Available-for-sale financial assets

In the case of equity investments classified as available-for-sale, objective evidence of impairment include (i) significant financial difficulty of the issuer or obligor, (ii) information about significant changes with an adverse effect that have taken place in the technological, market, economic or legal environment in which the issuer operates, and indicates that the cost of the investment in equity instrument may not be recovered; and (iii) a significant or prolonged decline in the fair value of the investment below its costs.

If an available-for-sale financial asset is impaired, an amount comprising the difference between its acquisition cost (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in profit or loss, is transferred from other comprehensive income and recognised in profit or loss. Reversals of impairment losses in respect of equity instruments are not recognised in profit or loss; increase in their fair value after impairment are recognised directly in other comprehensive income.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in profit or loss. Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of finance income. If, in a subsequent year, the fair value of a debt instrument increases and the increases can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed in profit or loss.

2.12 Cash and cash equivalents

Cash and cash equivalents comprise cash at bank and on hand and deposits with financial institutions which are subject to an insignificant risk of changes in value.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.13 Provisions**

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.14 Government grants

Grants from the government are recognised as a receivable at their fair value when there is reasonable assurance that the grant will be received and the Company will comply with all the attached conditions.

Government grants receivable are recognised as income over the periods necessary to match them with the related costs which they are intended to compensate, on a systematic basis. Government grants relating to expenses are shown separately as other income.

2.15 Leases

Finance leases which transfer to the Company substantially all the risks and rewards incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased asset or, if lower, at the present value of the minimum lease payments. Any initial direct costs are also added to the amount capitalised. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged to profit or loss. Contingent rents, if any, are charged as expenses in the periods in which they are incurred.

Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset and the lease term, if there is no reasonable certainty that the Company will obtain ownership by the end of the lease term.

Operating lease payments are recognised as an expense in profit or loss on a straight-line basis over the lease term. The aggregate benefit of incentives provided by the lessor is recognised as a reduction of rental expense over the lease term on a straight-line basis.

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2. Summary of significant accounting policies (continued)**2.16 Employee benefits****a) Defined contribution plans**

Defined contribution plans are post-employment benefit plans under which the Company pays fixed contributions into separate entities such as the Central Provident Fund on a mandatory, contractual or voluntary basis. The Company has no further payment obligations once the contributions have been paid. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

b) Employee leave

Employees entitlements to annual leave are recognised as a liability when they are accrued to the employees. The estimated liability for leave is recognised for services rendered by employees up to the end of the reporting period.

2.17 Income taxes**a) Current income tax**

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting period, in the countries where the Company operates and generates taxable income.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

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For the financial year ended 31 March 2016

2. Summary of significant accounting policies (continued)

2.17 Income taxes (continued)

b) Deferred tax (continued)

Deferred tax liabilities are recognised for all temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

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2. Summary of significant accounting policies (continued)**2.17 Income taxes (continued)****b) Deferred tax (continued)**

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity and deferred tax arising from a business combination is adjusted against goodwill on acquisition.

2.18 Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issuance of new ordinary shares are deducted against the share capital account.

2.19 Borrowings

Borrowings are initially recognised at fair value (net of transaction costs) and subsequently carried at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised in the statement of comprehensive income over the period of the borrowings using the effective interest method.

Borrowings are presented as current liabilities unless the Company has an unconditional right to defer settlement for at least 12 months after the statement of financial position date.

2.20 Contingencies

A contingent liability is:

- a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- b) a present obligation that arises from past events but is not recognised because:
 - i) it is not probable that an outflow of resources embodying amount benefits will be required to settle the obligation; or
 - ii) the amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company.

Contingent liabilities and assets are not recognised on the balance sheet of the Company, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

2. Summary of significant accounting policies (continued)**2.21 Financial guarantee**

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument.

Financial guarantees are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequent to initial recognition, financial guarantees are recognised as income in profit or loss over the period of the guarantee. If it is probable that the liability will be higher than the amount initially recognised less amortisation, the liability is recorded at the higher amount with the difference charged to profit or loss.

3. Significant accounting judgements and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods..

3.1 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a) *Income tax*

The Company has exposure to income taxes. Significant judgement is involved in determining the provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

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3. Significant accounting judgements and estimates (continued)**3.1 Key sources of estimation uncertainty (continued)***b) Useful lives of plant and equipment*

The cost of plant and equipment is depreciated on a straight-line basis over the plant and equipment's estimated economic useful lives. Management estimates the useful lives of these plant and equipment to be within 2 to 5 years. Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets, therefore, future depreciation charges could be revised. The carrying amount of the Company's plant and equipment at the statement of financial position date is disclosed in Note 10 to the financial statements.

c) Impairment of goodwill

As disclosed in Note 9 to the financial statements, the recoverable amounts of the cash generating units which goodwill have been allocated to are determined based on value in use calculations. The value in use calculations are based on a discounted cash flow models. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. The key assumptions applied in the determination of the value in use including a sensitivity analysis, are disclosed and further explained in Note 9 to the financial statements.

The carrying amount of the intangible assets as at 31 March 2016 is \$534,583 (2015: \$534,583).

4. Revenue

	2016	2015
	\$	\$
Income from consultancy services	<u>3,366,326</u>	<u>3,498,414</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***5. Cost of services**

	2016 \$	2015 \$
Consultancy charges	203,792	492,012
Consultants' salaries and CPF	2,345,446	2,171,501
Recruitment expenses	7,503	9,498
Consultants' travelling, telephone and other expenses	51,792	35,933
Project supplies	9,411	16,710
	<u>2,617,944</u>	<u>2,725,654</u>

6. Profit before income tax

Profit before income tax is determined after charging / (crediting) the following:

	2016 \$	2015 \$
Audit fee	9,300	7,200
Depreciation of plant and equipment (Note 10)	3,130	3,891
Director's remuneration and CPF	229,732	167,794
Loss on foreign exchange (Note 17(b))	12,910	10,054
Interest expenses	24,929	-
Gain on disposal of plant and equipment	-	(190)

7. Employee benefits

	2016 \$	2015 \$
Employees' salaries and bonuses	93,324	107,289
Employer's CPF on employees' salaries and bonuses	17,143	31,384
Director's remuneration	111,243	157,742
Employer's CPF on directors' remuneration	13,341	10,052
	<u>235,051</u>	<u>306,467</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***8. Income tax expense**

The income tax on the result varies from the amount of income tax determined by applying the standard rate of taxation to profit before tax due to the following factors: -

	2016 \$	2015 \$
Profit before income tax	<u>266,617</u>	<u>307,363</u>
Tax calculated at tax rate of 17%	45,325	52,252
Income not subject to tax	(658)	-
Non-deductible expenses	3,069	443
Utilisation of deferred tax assets previously not recognised	(47,736)	(52,695)
Taxation recognised in the income statement	<u>-</u>	<u>-</u>

As at the statement of financial position date, the Company has unutilized tax losses carried forward of \$272,260 (2015: \$549,022) and unutilized capital allowance of \$Nil (2015: \$21,095) available for set off against future taxable profits subject to the agreement by the Comptroller of Income Tax.

Deferred tax assets amounting to \$46,284 (2015: \$96,920) in relation to tax losses and unutilised capital allowance have not been recognised as management is not certain of its realisation in future years.

9. Goodwill

	2016 \$	2015 \$
At 1 April	534,583	534,583
Additions	-	-
At 31 March	<u>534,583</u>	<u>534,583</u>

Goodwill acquired through a business combination is allocated, at acquisition, to the cash generating units ("CGU") that are expected to benefit from the business combination.

Goodwill is not amortised but is reviewed for impairment annually.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

9. Goodwill (continued)

The carrying amount of a CGU is established by allocating assets and liabilities to the identified CGU as below:

	\$
Goodwill	534,583
Net assets and liabilities attributable to the CGU	298,954
Carrying amount of CGU	<u>833,537</u>

The recoverable amount of the CGU have been determined based on value in use calculations using cash flow projections from financial budgets approved by management covering a five-year period. As the recoverable amount is more than its carrying value, no impairment of the goodwill is recognised.

Key assumptions used in the value in use calculations

Budgeted gross margins – Gross margins are based on average values achieved in the five years preceding the start of the budget period, consistent over the budgeted period.

Growth rates – The forecasted 3.00% per annum terminal growth rates are within the range of Singapore's forecasted GDP growth (nominal) of between 2.1% and 6.7%.

Discount rates – Discount rates represent the current market assessment of the risks specific to each CGU, regarding the time value of money and individual risks of the underlying assets which have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Company and its operating segments and derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity.

The cost of equity is derived from the Modified Capital Assets Pricing Model ("MCAPM") to estimate the cost of equity.

The cost of debt is based on the prime lending rate of 5.35% as of March 2016.

Sensitivity to changes in assumptions

With regards to the assessment of value in use, Management believes that no reasonably possible changes in any of the above key assumptions would cause the carrying value of the unit to materiality exceed its recoverable amount.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***10. Plant and equipment**

	As at 1.4.2015	Additions	Adjustment	As at 31.3.2016
2016	\$	\$	\$	\$
Cost				
Furniture and fittings	6,280	-	-	6,280
Office equipment	10,434	576	-	11,010
Computers	168,872	1,299	(3,629)	166,542
	<u>185,586</u>	<u>1,875</u>	<u>(3,629)</u>	<u>183,832</u>
	As at 1.4.2015	Charge for the year	Disposal/ Write off	As at 31.3.2016
2016	\$	\$	\$	\$
Accumulated depreciation				
Furniture and fittings	6,112	74	-	6,186
Office equipment	9,295	632	-	9,927
Computers	166,757	2,424	(3,825)	165,356
	<u>182,164</u>	<u>3,130</u>	<u>(3,825)</u>	<u>181,469</u>
	As at 1.4.2014	Additions	Disposal	As at 31.3.2015
2015	\$	\$	\$	\$
Cost				
Furniture and fittings	6,280	-	-	6,280
Office equipment	9,887	547	-	10,434
Computers	166,471	2,591	(190)	168,872
	<u>182,638</u>	<u>3,138</u>	<u>(190)</u>	<u>185,586</u>
	As at 1.4.2014	Charge for the year	Disposal	As at 31.3.2015
2015	\$	\$	\$	\$
Accumulated depreciation				
Furniture and fittings	6,039	73	-	6,112
Office equipment	8,781	514	-	9,295
Computers	163,453	3,304	-	166,757
	<u>178,273</u>	<u>3,891</u>	<u>-</u>	<u>182,164</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***10. Plant and equipment (continued)**

	2016	2015
	\$	\$
Net carrying amount		
Furniture and fittings	94	168
Office equipment	1,083	1,139
Computers	1,186	2,115
	<u>2,363</u>	<u>3,422</u>

11. Investment in subsidiary

	2016	2015
	\$	\$
Shares, at cost	<u>288,900</u>	<u>-</u>

<u>Name of subsidiary</u>	<u>Principal activities</u>	<u>Proportion of ownership</u>	
		<u>2016</u>	<u>2015</u>
<u>Held by the Company</u>			
Mindteck Solutions Philippines ¹ (Incorporated in Philippines)	Hardware and software development and IT consultancy	100%	NA

¹ Unaudited.**12. Trade and other receivables**

	2016	2015
	\$	\$
Trade receivables - third parties	627,246	869,658
Less: Allowance for doubtful debts	<u>(13,655)</u>	<u>(13,655)</u>
	613,591	856,003
Other receivables	12,607	23,126
Deposits	10,925	10,925
	<u>637,123</u>	<u>890,054</u>

Trade receivables are non-interest bearing and are generally on 30 to 90 days' terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

The carrying amounts of the trade and other receivables approximate their fair value and denominated in Singapore Dollars.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***12. Trade and other receivables (continued)**

Receivables that are past due but not impaired:

The Company has trade receivables amounting to \$613,591 (2015: \$856,003) that are past due at the statement of financial position date but not impaired. These receivables are unsecured and the analysis of their aging at the statement of financial position date is as follows:-

	2016 \$	2015 \$
Trade receivables not past due:-		
Less than 30 days	357,723	687,676
Trade receivables past due:-		
30 – 60 days	54,600	126,971
61 – 90 days	106,014	10,165
More than 90 days	95,254	31,191
Total	<u>613,591</u>	<u>856,003</u>

Receivables that are impaired:

The Company's trade receivables that are impaired at the statement of financial position date and the movement of the allowance accounts used to record the impairment are as follows:

	2016 \$	2015 \$
At 1 April	13,655	13,655
Allowance made	-	-
At 31 March	<u>13,655</u>	<u>13,655</u>

Trade receivables that are individually determined to be impaired at the statement of financial position date relate to receivables that are in significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral or credit enhancements.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***13. Cash and cash equivalents**

	2016 \$	2015 \$
Cash in hand	2,826	2,598
Cash at bank	<u>277,303</u>	<u>313,848</u>
	<u>280,129</u>	<u>316,446</u>

The carrying amounts of the cash and cash equivalents approximate their fair value. Cash and cash equivalents is denominated in Singapore Dollar.

14. Other payables and accruals

	2016 \$	2015 \$
Other payables – third parties	8,346	8,346
GST payables	39,239	53,794
Accrued expenses	<u>317,905</u>	<u>296,192</u>
	<u>365,490</u>	<u>358,332</u>

Trade payables are non-interest bearing and are normally settled on 30 - 60 days terms.

The carrying amounts of the trade and other payables approximate their fair values and are denominated in the following currencies:-

	2016 \$	2015 \$
Singapore dollar	353,912	358,332
US dollar	<u>11,578</u>	<u>-</u>
	<u>365,490</u>	<u>358,332</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***15. Amount due from / (to) related parties**

Amount due from / (to) related parties are non-trade related, unsecured, non-interest bearing and repayable upon demand.

The carrying amounts of amount due from / (to) related parties approximate their fair values and are denominated in the following currencies:-

	2016	2015
Amount due from related parties	\$	\$
Singapore dollar	202,389	255,941
US dollar	73,664	66,061
Euro dollar	43,637	-
	<u>319,690</u>	<u>322,002</u>
Amount due to related parties	\$	\$
Singapore dollar	19,430	505,047
US dollar	215,053	9,070
	<u>234,483</u>	<u>514,117</u>

16. Issued and paid up capital

	2016	2015
	\$	\$
Issued and fully paid	<u>1,310,500</u>	<u>1,310,500</u>

The holder of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. There is no par value for these ordinary shares.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***17. Significant transactions with related parties****(a) Related parties transactions**

During the financial year, the company had related party transactions on terms agreed among the parties as follows:-

	2016 \$	2015 \$
Fees paid or payable to the Company	479,844	714,892
Fees paid or payable to related parties	325,002	325,002
Interest paid or payable to related parties	<u>24,929</u>	<u>-</u>

(b) Compensation of key management personnel

	2016 \$	2015 \$
Directors' remuneration	216,391	157,742
CPF	<u>13,341</u>	<u>10,052</u>
	<u>229,732</u>	<u>167,794</u>

18. Operating lease commitments

The future minimum lease payable under non-cancellable operating leases contracted for at the statement of financial position date but not recognised as liabilities, are as follows:-

	2016 \$	2015 \$
Within two year	20,828	57,444
Within two to five years	<u>-</u>	<u>-</u>
	<u>20,828</u>	<u>57,444</u>

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19. Capital management

The primary objective of the Company's capital management is to ensure that the company will be able to continue as a going concern. The capital structure of the Company comprises share capital, retained earnings and advances from shareholders and directors.

The Company does not actively manage its capital structure but will make adjustments to it as and when necessary. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders, issue new shares or other financial instruments, request advances from shareholders and directors or repay such advances.

The Company's objectives, policies or processes in managing its capital remain unchanged from the previous financial year. The Company is not subject to any externally imposed capital requirement.

The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. The Company includes within net debt, other payables, accruals and amount due to related parties, less cash and cash equivalents. Capital refers to equity attributable to the owners of the Company.

	2016 \$	2015 \$
Other payables and accruals (Note 14)	365,490	358,332
Amount due to related parties (Note 15)	234,483	514,117
Less: Cash and cash equivalents (Note 13)	(280,129)	(316,446)
Net debt	<u>319,844</u>	<u>556,003</u>
Equity attributable to owners of the company	1,476,964	1,212,344
Capital and net debts	1,796,808	1,768,347
Gearing ratio	18%	31%

20. Financial risk management objectives and policies

The Company's activities expose it to a variety of financial risks including interest rate, credit, liquidity and foreign exchange risks.

a) Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company's exposure to credit risk arises primarily from trade and other receivables.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***20. Financial risk management objectives and policies (continued)****a) Credit risk (continued)**

The Company manages its credit risk by monitoring the aging of its trade receivables on an on-going basis. Information regarding the aging of financial assets that are either past due or impaired are disclosed in Note 12 to the financial statements.

At the statement of financial position date, the Company's maximum exposure to credit risk is represented by the carrying amount of each class of financial assets recognised in the statement of financial position. The Company has no significant concentrations of credit risk.

b) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities.

The table below summarises the maturity profile of the Company's financial liabilities at the statement of financial position date based on contractual undiscounted payment.

	One year or less S\$	One to five years S\$	More than five years S\$	Total S\$
2016				
Financial assets:				
Trade and other receivables	637,123	-	-	637,123
Amount due from related parties	319,690	-	-	319,690
Cash and cash equivalents	280,129	-	-	280,129
	<u>1,236,942</u>	-	-	<u>1,236,942</u>
Financial liabilities:				
Other payables	47,585	-	-	47,585
Amount due to related parties	234,483	-	-	234,483
	<u>282,068</u>	-	-	<u>282,068</u>
Total net undiscounted financial assets	<u>954,874</u>	-	-	<u>954,874</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016***20. Financial risk management objectives and policies (continued)**

a) Liquidity risk (continued)

2015

Financial assets:

Trade and other receivables	890,054	-	-	890,054
Amount due from related parties	322,002	-	-	322,002
Cash and cash equivalents	316,446	-	-	316,446
	<u>1,528,502</u>	<u>-</u>	<u>-</u>	<u>1,528,502</u>

Financial liabilities:

Other payables	62,140	-	-	62,140
Amount due to related parties	514,117	-	-	514,117
	<u>576,257</u>	<u>-</u>	<u>-</u>	<u>576,257</u>

Total net undiscounted financial assets

952,245	-	-	952,245
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c) Foreign exchange risk

The Company's currency exposure is as follows:

	<u>United States Dollar</u>	<u>Euro Dollar</u>	<u>Singapore Dollar</u>	<u>Total</u>
As at 31.03.2016				
Amount due from related parties	73,664	43,637	202,389	319,690
Other payables and accruals	(11,578)	-	(353,912)	(365,490)
Amount due to related parties	(215,053)	-	(19,430)	(234,483)
	<u>(152,967)</u>	<u>43,637</u>	<u>(170,953)</u>	<u>(280,283)</u>
As at 31.03.2015				
Amount due from related parties	66,061	-	255,941	322,002
Other payables and accruals	-	-	(358,332)	(358,332)
Amount due to related parties	(9,070)	-	(505,047)	(514,117)
	<u>56,991</u>	<u>-</u>	<u>(607,438)</u>	<u>(550,447)</u>

MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2016*

20. Financial risk management objectives and policies (continued)

c) Foreign exchange risk (continued)

Sensitivity analysis for foreign currency risk

The following table demonstrates the sensitivity to a reasonably possible change in the US dollar and Euro dollar (against SGD), with all other variables held constant, of the Company's profit after tax.

	2016	2015
	\$	\$
US dollar		
- Strengthened 3% (2015: 3%)	(3,809)	1,419
- Weakened 3% (2015: 3%)	3,809	(1,419)
Euro dollar		
- Strengthened 3% (2015: 3%)	1,087	-
- Weakened 3% (2015: 3%)	(1,087)	-

21. Authorisation of financial statements

The financial statements were authorised for issue in accordance with a resolution of Board of Directors on 30 June 2016.